Fixed Income

Ingyu Bahng

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Contents

1 Market Foundation

Core Concept 1.1: Market Size & Composition

The fixed-income market represents **the largest financial market globally**. The total value of outstanding debt worldwide sits at approximately $143 trillion, comfortably surpassing both global equity market capitalization and annualized global GDP.

This vast market comprises millions of distinct individual securities tracking unique CUSIP or ISIN lines (*unique alphanumerical identifiers*). In terms of unique lines of debt, the **municipal bond market** represents the most fragmented sector with roughly 1 million to 1.5 million distinct outstanding issues. In terms of global market value, **sovereign debt** accounts for the single largest segment, followed by **corporate bonds** and structured securitizations.

The United States fixed-income market is the deep core of this global ecosystem, with total outstanding debt exceeding $50 trillion. Within this, the **U.S. Treasury market** is the most liquid and heavily traded sector, with over $27 trillion outstanding. The unparalleled scale, depth, and structural liquidity of the U.S. Treasury market serve as the drivers of the U.S. dollar's central role as the **global reserve currency** (*Core Concept 1.4*).

Core Concept 1.2: Historical Development

The modern bond market, much like the foreign exchange market, is a relatively recent development. Its expansion was primarily driven by **interest rate liberalization** and **the dismantling of capital controls** following World War II—triggered namely by the **Nixon Shock** (*Core Concept 6.2*)—which greatly facilitated sovereign borrowing.

Historically, governments primarily issued debt to finance extraordinary expenses such as **wars and domestic infrastructure**. However, the rise of the **modern welfare state** has fundamentally shifted this dynamic. As developed nations expanded public services, including healthcare, education, and social safety nets, government spending as a proportion of GDP increased significantly, leading to a corresponding structural reliance on debt financing.

Core Concept 1.3: US Treasuries & Foreign Nations

Following the **Nixon Shock** (*Core Concept 6.2*) and the subsequent transition to floating exchange rates in 1971, many nations were compelled to accumulate substantial **foreign exchange reserves** (*Core Concept 1.4*) to defend their currency pegs. Additionally, central banks frequently **purchase U.S. government bonds**, selling their domestic currencies in the process, to deliberately weaken their own exchange rates to support export economies.

U.S. Treasuries (*U.S. government bonds*) serve as a globally preferred, secure asset due to the following advantages.

(a) The unparalleled **creditworthiness** of the U.S. government

(b) Its **taxation authority** over the world's wealthiest economy

(c) The unique privilege of issuing the **primary global reserve currency**

(d) The unmatched **liquidity** of the U.S. bond market

Consequently, during periods of financial instability, investors instinctively **seek refuge in U.S. Treasuries**.

Core Concept 1.4: Corporate Bond Market

Corporations primarily access the bond market for debt financing due to favorable tax treatments and term structures.

(a) **Tax Advantage**: In most tax jurisdictions, **interest payments on debt are tax-deductible**, effectively reducing a firm's taxable income and lowering its overall tax burden.

(b) **Term Structures**: The corporate bond market provides access to long-term financing that is **generally unavailable through commercial banks**, which tend to prefer issuing shorter-term business loans.

2 Bond Structure & Mechanics

2.1 Bond Fundamentals

Core Concept 2.1: Bond Structure

Fundamentally, bonds are promissory notes that obligate the issuer to make regular, fixed interest payments, known as **coupons**, to the holder. Upon **maturation**, the issuer is also required to return the initial borrowing amount, referred to as the **principal**. This predictable stream of cash flows is the defining characteristic of a fixed-income instrument.

Example. *Consider a bond with* ***face value*** *(principal)* $F = \$1{,}000$*, an annual* ***coupon rate*** *of* $c = 5\%$*, and a* ***maturity*** *of* $n = 3$ *years, with coupons paid annually. The annual coupon payment is*

$$C = c \cdot F = 0.05 \times 1000 = \$50.$$

The bond's promised cash-flow stream to the holder is therefore

$$\underbrace{\$50}_{t=1} \quad \underbrace{\$50}_{t=2} \quad \underbrace{\$50 + \$1000}_{t=3},$$

where the final payment at $t = 3$ *includes both the last coupon and the return of the principal. In general, for a bond with face value* F*, coupon rate* c*, and maturity* n*, the cash flow at time* t *is*

$$CF_t = \begin{cases} C = cF, & t = 1, 2, \dots, n-1 \\ C + F, & t = n. \end{cases}$$

Core Concept 2.2: Price & Face Value

The fundamental distinction between a bond's face value and its market price lies in structural permanence versus macroeconomic volatility across different stages of a security's lifecycle.

(a) **Face value** or **par value** represents the **static**, contractual dollar amount assigned to the bond at its creation. It serves the following two immutable functions.

- Dictating the absolute **principal** repayment guaranteed to the investor at maturity
- Acting as the baseline figure upon which periodic **coupon** payments are mathematically calculated.

Importantly, the face value of a bond remains **entirely insulated from market volatility**.

(b) **Market price** represents the fluid, fluctuating economic value at which the bond is actually exchanged between counterparties. Its behavior diverges across two distinct market phases:

- **Primary Market**

  At issuance, the market price is established to match the clearing **yield** (*Core Concept 2.3*) demanded by investors. While the borrowing entity targets a fixed cash amount, the primary market price may be structured at par, a premium, or a discount, forcing the issuer to **dynamically scale the total face value** delivered to clear the transaction.

  Example. *Suppose an issuer wants to raise exactly $10,000,000 and plans to issue 10-year bonds with a* ***5% coupon****. If investors currently* ***demand a clearing yield of 6%*** *for this risk profile, the bonds must be* ***priced at a discount to par*** *to compensate buyers for the gap between the 5% coupon and the 6% required yield. Suppose this clearing yield implies a price of $92 per $100 face value. To raise the targeted $10,000,000 in proceeds, the issuer must scale up the total face value issued:*

$$\text{Face value issued} = \frac{\text{Target proceeds}}{\text{Price}/100} = \frac{\$10{,}000{,}000}{0.92} \approx \$10{,}869{,}565.$$

  The issuer therefore commits to repaying approximately $10.87 million at maturity, plus 5% coupons on that larger face amount, even though it only received $10 million up front—the cost of issuing below par.

  This dynamic illustrates a broader **disciplining mechanism** (*Core Concept 3.1*) within debt markets: when investors perceive a borrowing entity as riskier than the terms it is offering would suggest, they will collectively demand a yield discount, thereby raising the issuer's cost of capital. This diminished borrowing efficiency, in turn, incentivizes the issuer to avoid risky behavior, since maintaining favorable terms in future debt issuances depends on preserving investor confidence.

- **Secondary Market**

  Post-issuance, the bond **trades freely** between investors, and its market price fluctuates continuously. As the macro environment changes, the market price **deviates from par to align the bond's fixed cash flows with current market yields**.

  Example. *Consider a 5-year bond issued at par at a $1,000 face value with a 4% annual coupon, so it pays $40 per year. Suppose market interest rates then rise to 6%. Investors will no longer pay $1,000 for a bond yielding only 4%, so the price must fall until the bond's fixed $40 coupons plus principal repayment offer an effective 6% return. This pushes the price downwards.*

$$P \approx \$40 \times \left(\frac{1-(1.06)^{-5}}{0.06}\right) + \$1{,}000 \times (1.06)^{-5} \approx \$915.75.$$

Core Concept 2.3: Bond Yields

A bond's yield represents the annualized economic return generated for an investor based on its cash flow streams and prevailing market value. While coupon rates remain static, yields fluctuate inversely with secondary market prices.

(a) **Current yield**

Current yield provides a **static snapshot of annual cash income** relative to the bond's immediate purchase price.

$$\text{Current Yield} = \frac{C}{P}$$

Where C is the annual coupon payment and P is the current secondary market price.

(b) **Yield to Maturity**

Yield to Maturity (YTM) is the definitive institutional metric representing the total **internal rate of return (IRR)** an investor earns by purchasing the bond at its current market price and holding it until its final maturity date. It assumes that all periodic cash flows are successfully reinvested at that same constant rate.

$$P = \sum_{t=1}^{n} \frac{C}{(1+\text{YTM})^t} + \frac{F}{(1+\text{YTM})^n}$$

Where F is the nominal face value and n is the total compounding periods to maturity.

Whenever financial news networks, websites, or terminal databases (*such as Bloomberg*) quote a bond's "*headline yield*" (*e.g., "The 10-Year U.S. Treasury yield rose to 4.25%"*), they are exclusively referencing the YTM figure.

Example. *Consider a 10-year corporate bond with a face value of* $\$1,000$ *and a fixed* 6.00% *annual coupon* ($C = \$60$)*. Due to macro interest rate shifts, it trades on the secondary market at a discount price of* $\$880$.

$$\text{Current Yield} = \frac{\$60}{\$880} = 6.82\%$$

To calculate the YTM, we solve for the discount rate that equates the present value of the cash flows to the market price.

$$\$880 = \sum_{t=1}^{10} \frac{\$60}{(1+\text{YTM})^t} + \frac{\$1,000}{(1+\text{YTM})^{10}}$$

$$\text{YTM} = 7.79\%$$

The YTM captures an ***additional return premium*** *over the current yield* ($7.79\% > 6.82\%$) *because it factors in the compounding annualized capital gain of* $\$120$ ($\$1,000 - \$880$) *guaranteed to accrue to the investor over the remaining 10-year lifespan.*

Core Concept 2.4: Price-Yield Relationship

A fundamental principle of fixed-income markets is the **inverse relationship between a bond's purchase price and its yield**, as shown by the equations and example present in Core Concept 2.3. If an investor pays a lower up-front price for a set of fixed future cash flows, the effective rate of return, or **yield**, naturally increases.

	New Lenders	**New Borrowers**
High Yields	Good	Bad
Low Yields	Bad	Good

Table 1: Effect of yield levels on new lenders versus new borrowers

Consequently, high market yields are advantageous for prospective lenders but detrimental to new borrowers, whereas low yields benefit new borrowers at the expense of lenders (*Table 1*).

Core Concept 2.5: Bond Duration

Duration measures a bond's sensitivity to changes in interest rates, expressed conceptually as a weighted-average time until the holder receives the bond's cash flows. While intuitively similar to a bond's time to maturity, duration also accounts for the relative weight and timing of each individual coupon payment, making it a more precise gauge of interest rate risk than maturity alone. Several formulations of duration exist—

most notably **Macaulay duration**, which calculates this weighted-average time **directly in years**—but these time-based measures see limited use in practice. The dominant measure used throughout industry is instead **modified duration**, which converts Macaulay duration into a direct estimate of price sensitivity to interest rate changes.

Formally, for a bond with cash flows CF_t at times $t = 1, \ldots, n$, yield y, and compounding periods per year k, modified duration is given by

$$D_{\text{Mod}} = \frac{1}{1 + \frac{y}{k}} \cdot \frac{\sum_{t=1}^{n} \frac{t \cdot CF_t}{(1+y)^t}}{P}, \qquad \text{where } P = \sum_{t=1}^{n} \frac{CF_t}{(1+y)^t},$$

This expression can be broken down into its constituent components for clarity. The price P is simply the bond's total present value, as established in Core Concept 2.3. The numerator of the right-hand fraction follows the same construction, but weights each cash flow by its corresponding time period, yielding a quantity expressed in units of \$ year^{-1}. Dividing this quantity by the price P produces the **Macaulay duration**, which represents the **time-weighted balance point of all cash flows generated by the bond**.

If a bond's Macaulay duration is calculated to be 7.5, this indicates that, on a time-weighted basis, the balance point of the bond's present-value cash flows lies 7.5 years into the future.

The factor $(1+\frac{y}{k})^{-1}$ serves as a scaling adjustment that converts the Macaulay duration value into the **modified duration** figure. Recall that modified duration estimates a bond's price sensitivity to changes in interest rates. When interest rates rise, the present value of a bond's cash flows is affected more severely if the bulk of those flows lie far in the future—that is, when Macaulay duration is high or yield is low. Conversely, when yield is high and cash flows are effectively weighted toward the nearer term, interest rate changes exert a comparatively muted effect on price, since the present value of near-term cash flows is less sensitive to discounting.

A higher compounding frequency k similarly reduces price sensitivity, as more frequent receipt of coupon payments shifts a portion of the bond's cash flows earlier in time, thereby diminishing the extent to which interest rate movements erode the real return of those cash flows.

For instance, a semi-annual coupon schedule means that the bondholder receives half of the annualized coupon six months earlier than under an annual schedule, holding all other factors constant.

In summary, modified duration directly approximates the percentage change in a bond's price resulting from a small change in interest rate.

$$\frac{\Delta P}{P} \approx -D_{\text{Mod}} \times \Delta y.$$

This relationship makes modified duration the more practically useful metric for risk management, as it translates an abstract time-weighted average into an **actionable estimate of price volatility**—precisely why it, rather than Macaulay duration, is the figure quoted and used in practice.

Example. *Consider two bonds, each trading at par with a 4% annual coupon and annual compounding ($k = 1$), differing only in maturity.*

(a) **Short-Term Bond (2-Year Maturity)**

With cash flows of \$40 at $t = 1$ and \$1,040 at $t = 2$, this bond's modified duration is

$$D_{\text{Mod}} \approx 1.89.$$

A 1% rise in yield ($\Delta y = 0.01$) implies an approximate price decline of

$$\frac{\Delta P}{P} \approx -1.89 \times 0.01 = -1.89\%.$$

(b) **Long-Term Bond (30-Year Maturity)**

With the same 4% coupon but cash flows extending over 30 years, this bond's modified duration is substantially higher:

$$D_{\text{Mod}} \approx 17.29.$$

For the same 1% rise in yield, the price decline is far more severe:

$$\frac{\Delta P}{P} \approx -17.29 \times 0.01 = -17.29\%.$$

Despite both bonds sharing an identical coupon rate, the long-term bond's price is roughly nine times more sensitive to the same yield change—illustrating precisely why duration, not coupon rate alone, governs a bond's exposure to interest rate risk.

2.2 The Yield Curve

Core Concept 2.6: Yield Curve

The **yield curve** visually represents the cost of borrowing across various maturation horizons and serves as a fundamental barometer for the global economy. Under normal conditions, yields rise in tandem with maturation—manifesting as an upward-sloping curve—owing to the differing risk profiles inherent to varying terms.

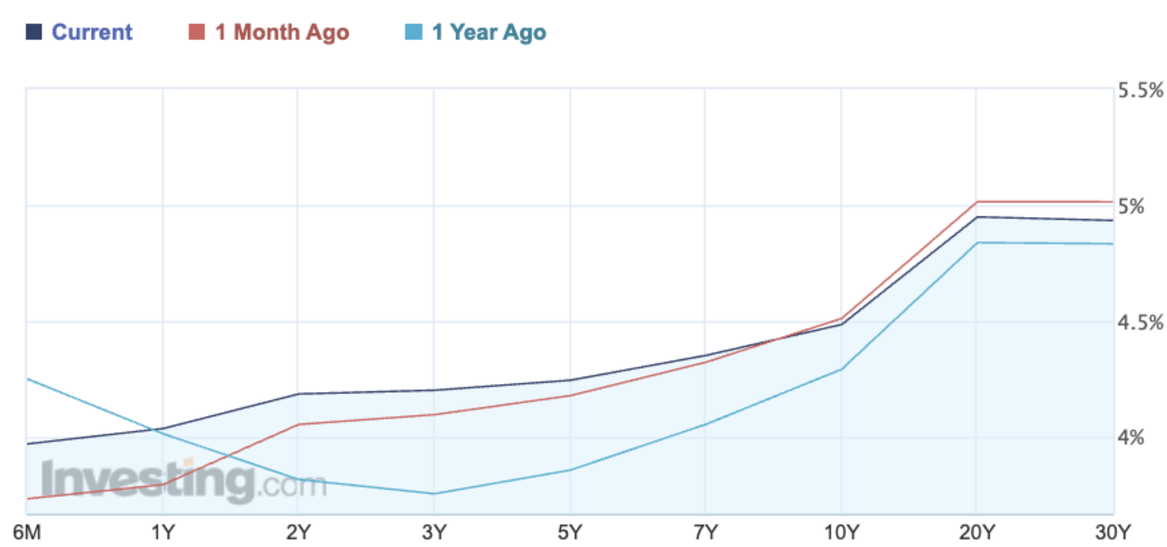

Figure 1: U.S. Treasury yield curve on June 23, 2026; plot from `investing.com`

(a) **Short Term Bond Yields (*Left*)**

The far-left segment of the curve is **rigidly tethered** to the **overnight interest rate** established by the central bank (*Core Concept 5.7*). Because a short-term bond's coupon payments and principal repayment occur within a narrow, near-term window, the cumulative impact of inflation on its real return is comparatively limited—there is simply insufficient time for inflation to meaningfully erode the value of cash flows that are largely fixed and imminent. Consequently, the **central bank's policy rate**, rather than inflation expectations, is the **dominant determinant of short-term yields**, and when the Federal Reserve adjusts this rate, the effects cascade across the entire $101 trillion fixed-income market.

(b) **Long Term Bond Yields (*Right*)**

In contrast, the far-right segment of the curve **floats freely**, driven predominantly by aggregate market inflation expectations. Because a long-term bond commits the holder to receiving fixed coupon payments many years into the future, sustained **inflation erodes the real value of those distant cash flows** far more severely than it does for a short-term instrument—the longer the horizon, the greater the magnitude of potential erosion.

To compensate for this elevated **exposure to inflation** and the greater **uncertainty inherent in projecting economic conditions** over an extended horizon, investors demand a **term premium**, referring to the additional yield required to hold longer-dated bonds.

Core Concept 2.7: Yield Curve Shapes

The **yield curve's shape** is tracked closely by market participants, as it reflects the market's collective expectations regarding inflation, economic growth, and central bank monetary policy. There are three primary shapes the yield curve can assume, alongside one crucial transitional phase.

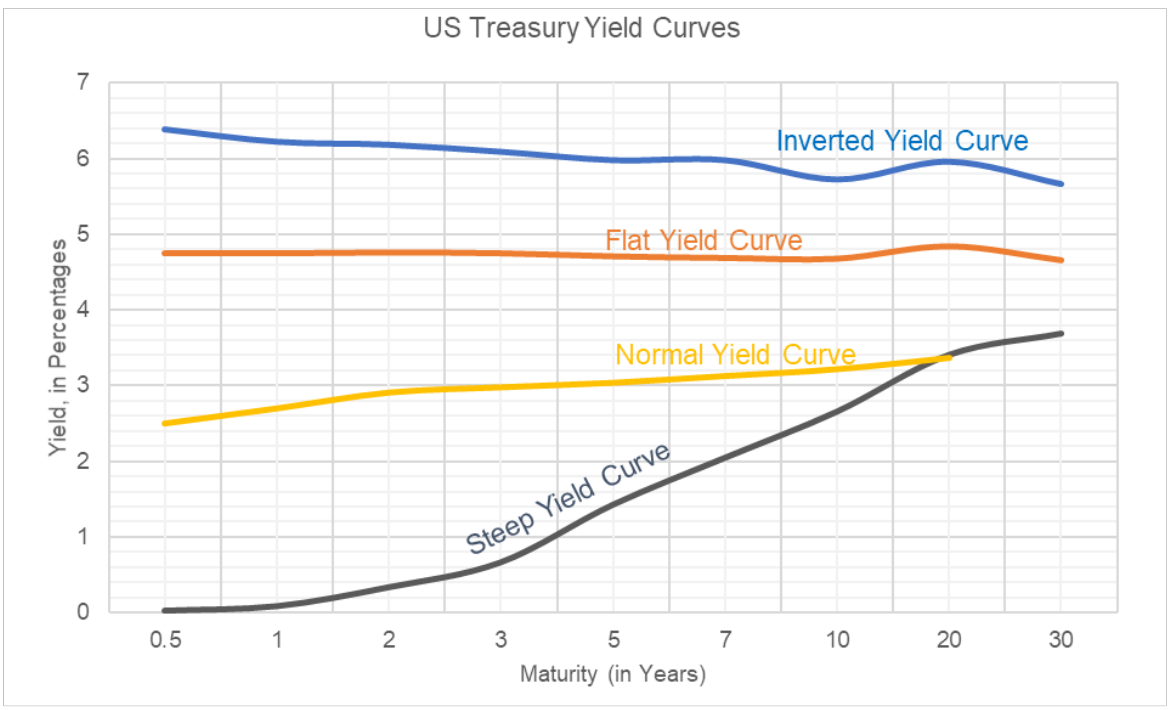

Figure 2: Different yield curve shapes

(a) **The Normal Yield Curve (Yellow)**

A normal yield curve slopes upward from left to right, such that long-term bonds offer higher yields than short-term bonds due to the reasons discussed in Core Concept 2.6. This shape generally signals a healthy, growing economy.

(b) **The Inverted Yield Curve Blue**

An inverted yield curve occurs when short-term interest rates exceed long-term interest rates—a highly unusual and unnatural state for fixed-income markets, and historically the most reliable **recession predictor** in macroeconomics.

This inversion typically arises when the central bank raises **short-term rates aggressively to combat inflation**, causing short-term yields to spike. Consequently, investor pessimism about future growth prospects due to contractionary rate hikes cause a rush to purchase long-term bonds to lock in higher yields before yields drop further. This **demand surge drives long-term bond prices upward** and their corresponding yields downward, ultimately inverting the curve.

Relatedly, the resulting decline in expected inflation causes the **term premium embedded in long-term yields to narrow**, as diminished inflation expectations reduce the degree to which future bond cash flows are anticipated to be eroded in real terms.

(c) **The Flat Yield Curve (Orange)**

A flat yield curve emerges when **little difference** exists between short-term yields (*e.g., 2-year*) and long-term yields (*e.g., 10- or 30-year*). This shape is typically **transitional**, appearing as the economy shifts between expansion and slowdown, or vice versa. A flat curve signals profound **market uncertainty**, as investors remain divided on whether inflation will persist or whether the central bank will soon be compelled to cut rates—causing yields across all maturities to temporarily converge.

(d) **The Steep Yield Curve (Black)**

A steep yield curve represents an **exaggerated version of the normal curve**, in which the gap between short-term and long-term rates widens dramatically. This shape typically emerges at the lowest point of a recession, as the economy prepares to recover. The central bank, having cut **short-term rates to near zero** to stimulate growth, depresses the left side of the curve, while long-term investors—anticipating a substantial wave of forthcoming economic growth and inflation—demand correspondingly higher long-term yields.

Core Concept 2.8: Market Impacts

The dynamics of the government yield curve exert profound impacts across all sectors of the economy, propagating outward from sovereign debt markets to corporate financing, consumer borrowing, and the broader global financial system.

(a) **Corporate Impact**

In the corporate sector, firms typically issue medium- to long-term bonds to match the duration of their liabilities. Because corporations possess inherently **lower creditworthiness than their corresponding sovereign issuers**, their debt commands a higher yield. The structural difference between a corporate bond's yield and a maturity-matched government bond is known as the **spread**. As central banks manipulate the foundational government yield curve, **corporate yields generally move in tandem**, maintaining relatively stable spreads—though the spread itself may widen or narrow independently of this if the issuer's underlying creditworthiness shifts, since improving or deteriorating financial health directly alters the risk premium investors demand to hold that corporate issuer's debt.

Example. *Suppose the 10-year U.S. Treasury yield is currently 4.00%, and a 10-year investment-grade corporate bond trades at a spread of 150 basis points (1.50%) above it. The corporate bond's yield is therefore*

$$\text{Corporate Yield} = \underbrace{4.00\%}_{\text{Treasury}} + \underbrace{1.50\%}_{\text{Spread}} = 5.50\%.$$

Now suppose the Federal Reserve cuts rates, and the 10-year Treasury yield falls to 3.50%. If investor risk appetite remains stable, the corporate spread holds at 150 basis points, and the corporate yield falls in tandem to

$$5.50\% \to \underbrace{3.50\%}_{\text{Treasury}} + \underbrace{1.50\%}_{\text{Spread}} = 5.00\%.$$

However, if instead investors grow concerned about a looming recession and corporate default risk, the spread may ***widen*** *to 250 basis points even as the Treasury yield falls, since deteriorating risk appetite pushes investors to demand* *greater compensation for holding corporate debt relative to "risk-free" government bonds.*

$$\text{Corporate Yield} = 3.50\% + 2.50\% = 6.00\%.$$

(b) **Consumer Impact**

Fixed income market dynamics directly affect consumers as well, as key lending instruments such as the 30-year U.S. mortgage rate remain tightly **anchored** to 10-year government bond yields, exerting a substantial influence on broader housing market activity. *This mirrors the mechanism by which corporate bond yields are anchored to their corresponding sovereign bond yields via the spread.*

(c) **Global Impact**

Furthermore, owing to the highly integrated nature of global financial markets, benchmark 10-year sovereign yields across advanced economies remain **strongly correlated**, moving synchronously in response to overarching macroeconomic trends.

In theory, if all other factors were held equal, the country with the highest creditworthiness should command the lowest yields, with all other sovereign yields trading at a premium above it. In practice, however, the U.S. Treasury market occupies this benchmark role not because the U.S. holds the highest formal creditworthiness—several advanced economies, in fact, carry cleaner credit ratings—but rather because of its unmatched market depth, liquidity, and reserve-currency status, which sustain persistent safe-haven demand regardless of underlying fiscal conditions. Consequently, divergences in business cycles, inflation trajectories, and monetary policy stances across countries mean that observed yield differentials rarely align purely with relative creditworthiness.

Japan illustrates this divergence well: as of June 27, 2026, its 10-year government bond yields 2.613%, compared to 4.372% for the 10-year U.S. Treasury—despite Japan carrying a lower formal credit rating (A) than the U.S. (AA). This gap is suppressed not by superior Japanese creditworthiness, but rather by domestic monetary policy.

3 Valuation Drivers & Policy

3.1 Credit Analysis

Core Concept 3.1: Creditworthiness

Current bond prices fundamentally reflect market expectations regarding the **likelihood of future repayment**. However, the standard mathematical calculation of yield (*Core Concept 2.3*) assumes that the promised cash flows **will** materialize completely. Therefore, when market participants begin to doubt a borrower's solvency, they demand a lower initial price for the bond to compensate for the elevated risk, resulting in a sharply higher yield.

Core Concept 3.2: Sovereign Credit Risk Metrics

If investors suspect a government may struggle to meet its obligations, the resulting decline in bond prices and subsequent spike in yields significantly increases the cost of future borrowing. Through this mechanism, the bond market **actively imposes fiscal discipline** on sovereign nations.

To assess sovereign creditworthiness, investors primarily evaluate three macroeconomic metrics.

(a) **Debt to GDP**

The Debt-to-GDP ratio serves as a general indicator of leverage; typically, a **higher proportional debt burden implies greater default risk**, prompting investors to demand elevated yields. However, this is **not an absolute rule**, as evidenced by Japan, which maintains exceptionally low borrowing costs despite holding one of the highest debt burdens globally, sitting at around 200%.

(b) **Deficit to GDP**

The Deficit-to-GDP ratio highlights the extent to which a government's **expenditures exceed its tax revenues**. Persistent deficits **require continuous financing through the bond market**, subsequently increasing the proportion of the national budget consumed by debt interest payments.

(c) **Repayment Schedule**

A nation's repayment schedule, or its strategy for **rolling over debt**, is scrutinized. While issuing short-term debt is attractive due to **lower associated interest rates** (*short-term bond yields generally sit lower than their longer-term counterparts*), it exposes the borrower to **refinancing risk**—the danger that lenders may suddenly demand significantly higher yields.

Due to its robust credit profile, the **U.S. government is uniquely positioned** to exploit the cost advantages of short-term borrowing and continuous refinancing without substantial fear of abrupt lender withdrawal.

Core Concept 3.3: Credit Risk Indicators

Market participants rely on several formal and market-implied indicators to gauge credit risk.

(a) **Credit Ratings**

Credit rating agencies—such as Moody's, Fitch, and S&P Global Ratings—assign **letter grades** to nearly all bond issues, using a general grading spectrum ranging from AAA down to D.

Within the corporate sector, bonds rated BBB- and above are classified as **investment grade**, whereas those rated BB+ and below are categorized as **non-investment grade** or colloquially as **junk bonds**. However, it's important to keep in mind that the historical performance of these agencies has been **less reliable** for corporate issuances compared to sovereign debt.

(b) **Credit Default Swaps**

Alternatively, Credit Default Swaps (CDS) function as a form of **market-traded insurance against bond defaults**. Because they are actively traded instruments, CDS spreads provide a **real-time market assessment of credit risk** that frequently serves as a more timely early warning indicator than static agency ratings. Simply put, a wider CDS spread denotes higher perceived market risk.

3.2 Short-Term Interest Rates

Core Concept 3.4: Short-Term Interest Rates

Short-term interest rates exert a direct and immediate effect on broader market yields. In the sovereign space, **non-U.S. government bonds invariably price themselves relative to U.S. Treasuries**. Because the U.S. is generally perceived as the most creditworthy sovereign borrower, bonds issued by other nations must offer a lower price—and consequently a higher yield—to compensate investors for the additional inherent risk. This dynamic is essentially basic price competition expressed through the terminology of yield. *However, as discussed in Core Concept 2.8, this rule does not hold definitively.*

Core Concept 3.5: Output Gap

The **output gap** represents the macroeconomic difference between an economy's actual production and its theoretical potential output. When an economy operates **tightly**—meaning actual output exceeds potential capacity—it frequently **signals impending inflation**. Conversely, economic **slack** generally coincides with deflationary pressures.

$$\text{Output Gap (\%)} = \frac{Y_{\text{actual}} - Y_{\text{potential}}}{Y_{\text{potential}}} \times 100$$

Central bankers synthesize data on the output gap alongside traditional inflation metrics to formulate **monetary policy**, determining whether it is necessary to cool an overheating economy, stimulate a stagnant one, or maintain current interest rates.

A more complete discussion of output gaps, economic cycles, and monetary policy is present in Macroeconomics.

3.3 Inflation

Core Concept 3.6: Inflation

Inflation is a critical driver of bond markets. Because bond payments are fixed, inflation steadily **erodes the discounted value of both coupon and principal payments**. In response to rising inflation, investors demand lower initial purchase prices for the same nominal cash flows, driving yields upward. It is crucial to recognize that **quoted bond yields are nominal figures** and do not inherently adjust for inflation.

To assess current inflationary pressures, central banks rely on three primary statistical metrics: the **GDP deflator**, the **Consumer Price Index (CPI)**, and the **Personal Consumption Expenditures (PCE)** index. The PCE is particularly favored by policymakers because it isolates the core inflation trend by stripping out highly volatile food and energy costs.

A more complete discussion of inflation and its measures is present in Subsection 2.3.

Core Concept 3.7: Treasury Inflation Protected Securities

Because such indices are inherently **backward-looking**, bond market investors instead turn to specific traded financial instruments **to derive real-time, forward-looking inflation expectations**.

Treasury Inflation Protected Securities (TIPS) are explicitly designed to protect lenders against the erosion of purchasing power by adjusting both principal and coupon payments in accordance with movements in the **CPI** (*Core Concept 2.15*). By examining the **yield differential** between TIPS and conventional, non-protected Treasury bonds of identical maturity, market participants can derive the market's **implied inflation expectations** with considerable precision. As inflation forecasts rise, demand for TIPS increases relative to that for standard bonds, causing the yield spread between the two instruments to widen accordingly.

Example. *Suppose one wishes to determine what the market expects inflation to average over the following decade. Consulting the benchmark fixed-income quotes on a financial terminal yields the following figures.*

- 10-Year Nominal Treasury Yield: 4.25%
- 10-Year TIPS Yield (Real Yield): 1.90%

Subtracting the real yield from the nominal yield yields the breakeven inflation rate:

$$\text{Breakeven Inflation Rate} = 4.25\% - 1.90\% = 2.35\%$$

This spread indicates that fixed-income participants anticipate the Consumer Price Index (CPI) will average 2.35% annually over the next decade, and it represents the precise financial threshold governing an investor's choice of where to allocate capital.

- **The Neutral Line**: Should the CPI average exactly 2.35% over the next 10 years, both instruments will yield identical economic returns, such that the **investor breaks even regardless of choice**.

- **The Inflation Outperformance Strategy**: If one anticipates that inflation will instead average 3.00%, the **TIPS bond is the preferable holding**. Because realized inflation exceeds the breakeven rate, the principal adjustments embedded in TIPS will generate a superior total return.
- **The Deflation/Cooling Strategy**: If one expects inflation to fall to 1.50%, the **Nominal Treasury becomes the preferable holding**. Conventional fixed yields outperform inflation protected instruments whenever realized price growth falls short of the initial market spread.

3.4 Monetary Policy

Core Concept 3.8: Central Bank Mandates

Central banks—such as the **Federal Reserve** for the U.S.—actively intervene in money markets to steer economies toward stable, sustainable growth, managing two primary psychological extremes.

- **Inflation**, which often historically spikes during wartime due to excessive monetary expansion, severely erodes the real value of fixed-income assets, as notably witnessed during the turbulence of the 1970s.
- Conversely, **deflation** is equally destructive, as anticipating consistently falling prices incentivizes consumers to indefinitely delay spending, which stalls economic activity.

Central banks must therefore carefully balance these forces, operating with the understanding that unchecked inflation will inevitably drive bond prices down and corresponding yields up.

Core Concept 3.9: Policy Toolkit

The primary mechanism through which central banks influence the broader economy is the adjustment of **short-term interest rates**, as discussed in Core Concept 2.6. By raising these rates, central banks render the holding of cash deposits more attractive, which systematically discourages consumer borrowing and corporate investment alike. This contraction in aggregate demand depresses actual economic output and, in turn, suppresses inflationary pressure and tilts the yield curve to be more downward sloping. In the United States, the **Federal Open Market Committee (FOMC)** sets this pivotal rate—termed the **Federal Funds Rate** (*Core Concept 5.7*)—eight times annually, an event of considerable market consequence.

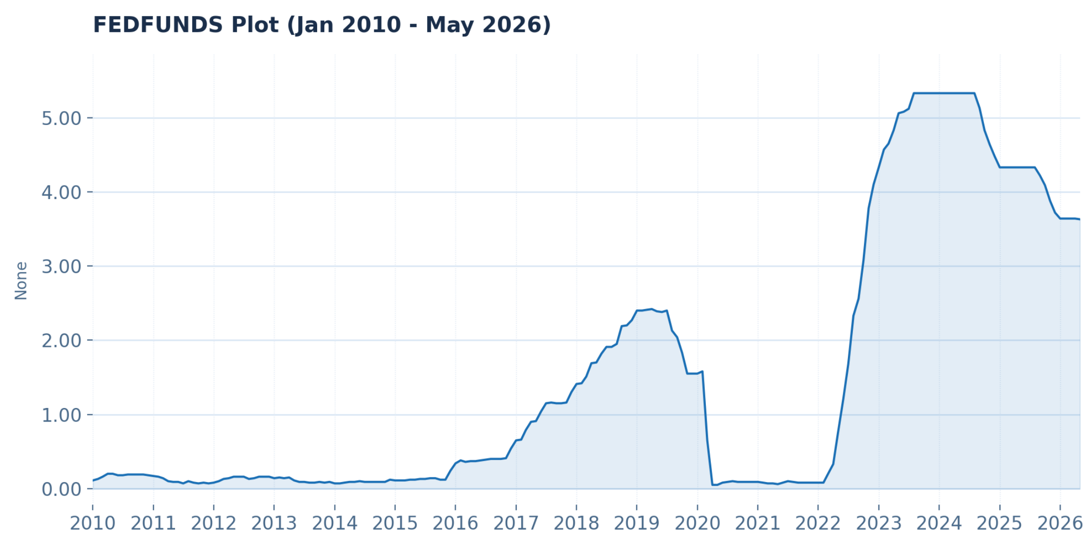

Figure 3: Federal funds effective rate from Jan 2010 to May 2026

Beyond immediate rate adjustments, the FOMC relies heavily on **forward guidance**—carefully crafted policy statements in which subtle linguistic shifts signal the likely trajectory of future interest rates. This guidance is further substantiated by the official **FOMC meeting minutes**, released approximately three weeks after each meeting, which furnish a detailed account of the committee's deliberations and thereby offer market participants additional insight into the reasoning underlying its decisions. Market participants **incorporate these expectations into the pricing of securities**.

4 Historical Events

Core Concept 4.1: The Volcker Disinflation (1979–1982)

Upon his appointment as Federal Reserve Chair in 1979, Paul Volcker confronted entrenched double-digit inflation—following the 1973 (*Core Concept 4.12*) and 1979 (*Core Concept 4.13*) oil shocks—by pursuing aggressive rate hikes, ultimately pushing the **Federal Funds Rate above 19%**. This deliberate and severe tightening produced one of the **most extreme yield curve inversions** in modern history, as short-term rates climbed well above long-term yields, and precipitated a sharp double dip recession in the early 1980s.

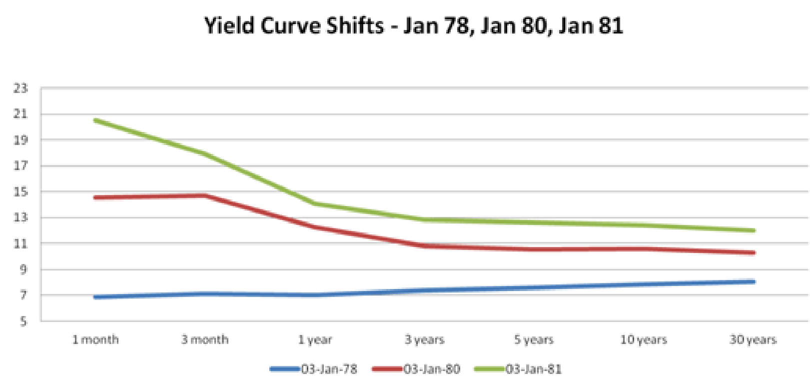

Figure 4: Yield curve transformation from 1979 to 1982; *severe yield curve inversion resulted from large interest rate hikes from Fed Chair Paul Volcker*

Despite the substantial near-term economic cost, the rate hike succeeded in breaking runaway inflation, and established the precedent that central banks must be **willing to inflict deliberate short-term pain to preserve long-term price stability**.

Core Concept 4.2: The Great Bond Massacre (1994)

Entering 1994, the federal funds rate stood at a historically low 3%, and investors had grown complacent, heavily leveraging long-duration **carry trade** positions that profited from the spread between low short-term borrowing costs and higher long-term yields. An unexpected February rate hike caught markets off guard and was followed by five more over the year, more than **doubling the Federal Funds Rate to 5.5% by November**.

The surprise tightening triggered a sharp spike in long-term Treasury yields—the 30-year yield climbing from roughly 6% to nearly 8%—inflicting losses exceeding $1.5 trillion globally, concentrated in long-duration, leveraged portfolios. The episode, dubbed the **Great Bond Massacre**, illustrated how leveraged positioning in high-duration assets can turn a modest policy surprise into severe losses, per the duration-sensitivity concepts in Core Concept 2.5.

This pattern of rising long-term yields in response to rate hikes appears to **contradict** the yield suppression scenario in Core Concept 2.7, wherein tight policy signals lower inflation and flattens or inverts the curve. In 1994, however, this standard pattern **diverged entirely**: rate hikes instead triggered a synchronized spike across the whole curve, driven by the following mechanisms.

(a) **The Information Shock**

Markets had grown complacent, assuming inflation was fully extinguished. The sudden hike led investors to infer the Fed was responding to **hidden inflationary risks** they had failed to price in, prompting an immediate upward revision in long-term inflation expectations and a higher demanded inflation premium.

(b) **The Leverage Trap and Margin Calls**

Institutional desks had built extensive **carry trade** positions through 1993. As short-term borrowing costs rose, thin profit margins evaporated while long-term asset values declined, prompting lenders to issue immediate **margin calls**. The resulting forced liquidation of long-term Treasuries overwhelmed organic demand, depressing prices and driving yields sharply upward.

(c) **Mortgage Extension Risk and Portfolio Hedging**

A large share of the long-term fixed-income market was concentrated in **mortgage-backed securities (MBS)**. As rates rose, refinancing and relocation activity stalled, lengthening expected mortgage pool lifespans and introducing severe **extension risk**—converting short- to medium-duration portfolios into long-duration ones almost overnight. To restore mandated risk limits, institutions sold substantial 10- and 30-year Treasury holdings, further intensifying the long-end yield rise.

This interest rate hike was also among the contributing factors underlying the ***Mexican Peso Crisis*** *(Core Concept 6.7).*

Core Concept 4.3: Dotcom Bust Recovery (2003-2006)

During the post-dot-com crisis recovery, the evolution of the yield curve demonstrated a distinct two-phase chronological tendency driven by shifting investor horizons. In the initial anticipatory phase, market participants recognized emerging inflation and **forecasted** that the Federal Reserve would preemptively hike short-term interest rates. Fearing that these impending rate increases would erode fixed-income values, investors prioritized short-term capital preservation and aggressively sold off long-dated bonds. This initial panic drove long-term yields sharply higher and created a **steeply sloping yield curve**.

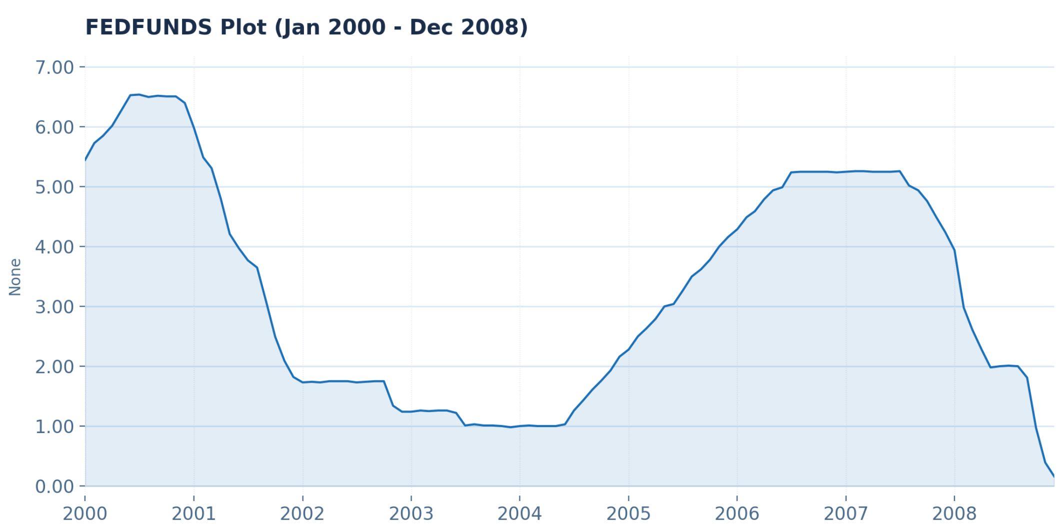

Figure 5: Federal funds rate from Jan 2000 to Jan 2008; *rate hikes following the historically low rates of 2003 started in mid-2004*

Subsequently, as the central bank **executed these short-term rate hikes**, the market transitioned into a secondary structural phase where long-term macroeconomic tendencies overrode initial reactions. As borrowing costs climbed, the forward-looking economic outlook shifted; anticipating that elevated borrowing costs would inevitably constrain growth and cool inflation, investors realized that macroeconomic deceleration was imminent. Seeking to lock in the peak prevailing yields before the economy slowed, investors executed a massive flight to safety back into long-term bonds. This surge in structural demand **drove long-term yields back down**, ultimately pushing them below short-term rates to form the **inverted yield curve** of 2006, which served as a quintessential leading indicator for the 2008 global financial crisis.

Core Concept 4.4: Global Financial Crisis (2008)

The historically low policy rates of 2003 fueled a sustained expansion of mortgage credit, ultimately inflating a substantial housing bubble. As widespread mortgage defaults triggered the collapse of this bubble, credit markets seized, and investors fled risk assets en masse in favor of safety. This **flight to safety drove U.S. Treasury yields sharply lower across the entire curve**, even as corporate spreads widened dramatically—reflecting acute concern over corporate solvency amid the broader credit freeze.

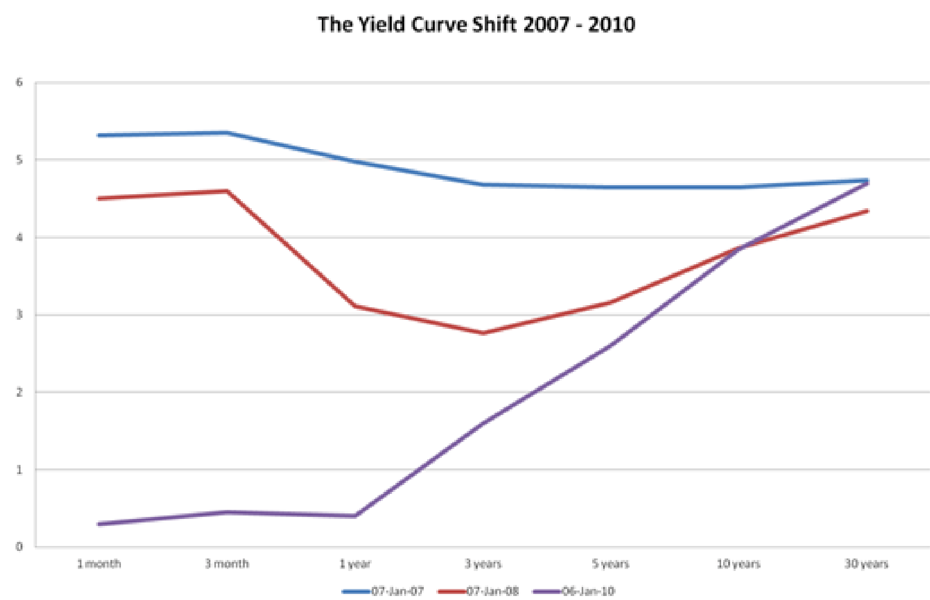

Figure 6: U.S. Treasury yield curve shift from 2007 to 2010

In response, the Federal Reserve **cut short-term rates to near-zero** and subsequently introduced **quantitative easing (QE)**, a novel policy tool involving **large-scale purchases of long-term Treasury and mortgage-backed securities**, designed to directly suppress long-term yields once conventional rate cuts had been exhausted.

Core Concept 4.5: Taper Tantrum (2013)

In mid-2013, the Federal Reserve signaled its intention to **begin tapering its ongoing quantitative easing purchases**, which sustained a non-economic buying pressure that suppressed long-term yields. Although no actual policy change had yet occurred, market participants immediately **revised their expectations of future**

bond demand downward, anticipating that reduced central bank purchases **would allow yields to rise**.

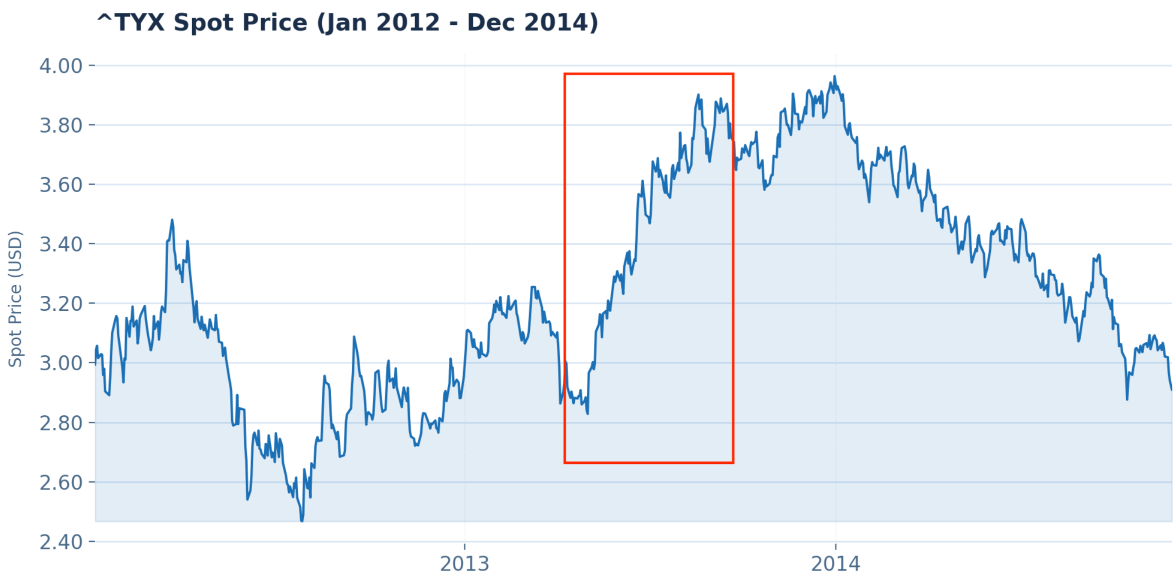

Figure 7: 30-Year Treasury bond yield from Jan 2012 to Dec 2014; *the rapid rise in yields caused massive capital losses, particularly in higher duration bonds*

This shift in expectations alone triggered a **sharp, rapid spike in long-term Treasury yields**, an episode subsequently termed the **taper tantrum**. The event illustrated a crucial principle of fixed-income markets: yields respond not only to a central bank's present actions, but also—and often more violently—to **shifts in market expectations** regarding future policy.

Core Concept 4.6: COVID-19 Pandemic Shock and Liquidity Crisis (2020)

The onset of the COVID-19 pandemic in early 2020 triggered an immediate **flight to safety**, driving investors out of risky assets and temporarily pushing sovereign yields to historic lows across the entire curve. This flight to safety, however, soon deteriorated into an acute, systemic **liquidity crunch**: highly leveraged institutional managers, confronted with sweeping **margin calls**, were forced to liquidate their most liquid holdings—long-term U.S. Treasury securities—to raise immediate cash. This wave of non-economic, forced selling overwhelmed market makers, causing **bid-ask spreads to widen to historic levels** and triggering a severe liquidity freeze in the world's deepest risk-free asset market.

In response to this breakdown in market functioning, the Federal Reserve deployed monetary tools with unprecedented speed and scale.

- The FOMC **slashed the Federal Funds Rate** by 150 basis points across two emergency weekend actions, returning the front end of the curve to a target range of 0.00%–0.25%.
- To absorb the resulting glut of asset supply, the Fed launched **open-ended quantitative easing**, purchasing up to $75 billion in Treasuries and mortgage-backed securities daily.
- The Fed further established **direct corporate credit facilities**, purchasing corporate debt and ETFs for the first time in its history to stabilize private credit spreads.

These aggressive liquidity injections successfully restored orderly market functioning and arrested the forced deleveraging cascade. By anchoring the short-term policy rate at zero while sustaining continuous asset purchases to compress long-term term premiums, the **Fed held the entire yield curve near record-low levels for the remainder of the year**.

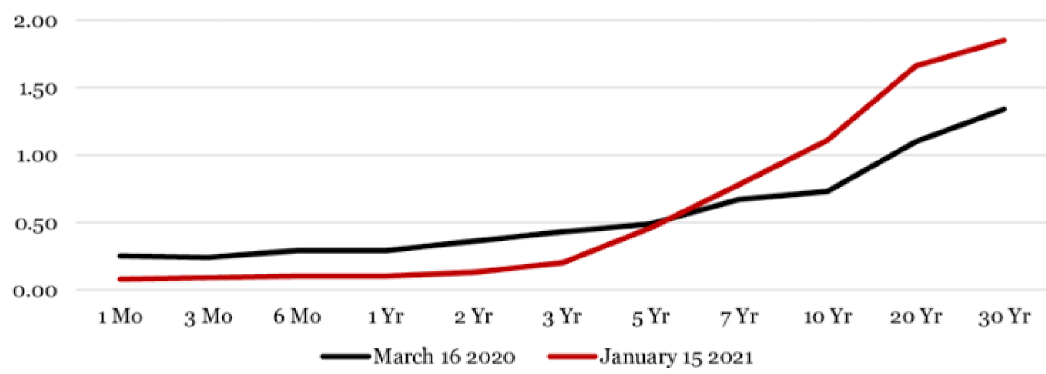

Figure 8: U.S. Treasury yield curve on Mar 2020 to Jan 2021; *yield curve levels were sustained at historic lows due to the monetary policy in reaction to the pandemic-triggered market dysfunction*

Core Concept 4.7: Post-Pandemic Inflation Shock and Policy Tightening (2022–2024)

The transition following the pandemic was characterized by a historic shift from hyper-accommodative liquidity to aggressive monetary restriction, resulting in a decoupling of short- and long-term yields.

The combination of sustained pandemic-era accommodation and supply-side disruptions drove consumer price inflation to multi-decade highs, prompting the Federal Reserve to undertake one of the most aggressive tightening cycles in modern financial history, rapidly raising **the short-term policy rate above 5.00%** in an effort to anchor long-term inflation expectations.

Figure 9: 2-Year vs. 10-Year Treasury spread from Dec 2022 to Dec 2023; *spread reaches as low as -100bps*

Consequently, short-term Treasury yields rose sharply in tandem with the Fed's rate path, while long-term yields advanced at a far more moderate pace, restrained by market confidence that restrictive policy would successfully temper long-term inflation and growth. This asymmetry drove the 2-year vs. 10-year Treasury spread below −100 basis points (*Figure 9*), producing the deepest and most **prolonged yield curve inversion** since the early 1980s (*Core Concept 4.1*).

Mechanically, this severe inversion compressed commercial banks' net interest margins and constrained the broader supply of corporate credit. Although market participants historically regarded such structural inversions as a reliable leading indicator of impending recession, the **resilience of corporate balance sheets and the labor market** sustained an extended macroeconomic debate over whether the central bank could engineer a **soft landing**—taming core inflation without precipitating a severe contraction in output.